HOUSE BILL 2333
By Butler

SENATE BILL 2574

By Harshbarger

AN ACT to amend Tennessee Code Annotated, Title 53; Title 56; Title 63 and Title 71, relative to pharmacy benefits managers.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 56, Chapter 7, Part 31, is amended by adding the following as a new section:

56-7-3125.

(a) As used in this section, unless the context otherwise requires:

(1) "Department" means the department of commerce and insurance;

(2) "Healthcare prescriber" means an individual authorized by law to prescribe drugs; and

(3) "Pharmacy benefits manager" means a person, business, or other entity and any wholly or partially owned subsidiary of the entity that administers the medication or device portion of pharmacy benefits coverage provided by a covered entity.

(b) The general assembly finds and declares that:

(1) A pharmacy benefits manager is not a healthcare prescriber;

(2) The medical decision-making belongs to a healthcare prescriber;

(3) Interference by non-clinical entities threatens patient safety;

(4) Transparency and accountability are necessary to protect customers; and

(5) This section regulates pharmacy benefits managers as market participants and does not mandate health plan benefits.

(c)

(1) A pharmacy benefits manager shall not:

(A) Exercise authority to modify, restrict, or deny a medication ordered by a healthcare prescriber unless the healthcare prescriber has initiated a request for a formulary exception or prior authorization, which must be granted or denied pursuant to subdivision (c)(5);

(B) Impose requirements that delay or prevent a healthcare prescriber from prescribing or modifying a medication based solely on clinical judgment;

(C) Enforce or require a policy that interferes with the prescribing authority of a healthcare prescriber;

(D) Require a healthcare prescriber to obtain prior approval or perform a utilization management activity that directly alters, delays, or denies a medication unless authorized by a patient's health plan;

(E) Exercise, implement, or enforce any authority restricted under this section through delegation, incorporation by reference, or contractual authorization contained in a health plan, plan document, or benefit design, unless such authority is expressly permitted by this section; or

(F) Structure formularies, cost-sharing requirements, tier placement, or utilization management criteria in a manner that has the purpose or effect of circumventing the prescribing protections of this section, including through excessive cost-sharing or non-medical formulary exclusions.

(2) Only a healthcare prescriber may issue, modify, or discontinue a medication.

(3) Any provision of a health plan or contract that purports to grant a pharmacy benefits manager authority in conflict with this section is void and unenforceable as contrary to the public policy of this state.

(4) If a healthcare prescriber determines that a medication is medically necessary, then the pharmacy benefits manager must ensure that a clinically appropriate and affordable access pathway exists for the patient.

(5)

(A) A request for a formulary exception or prior authorization, as described in subdivision (c)(1)(A), must be granted or denied within twenty-four (24) hours for an exigent or urgent clinical circumstance or within seventy-two (72) hours for a non-urgent request.

(B) If a pharmacy benefits manager fails to respond within the time frame as described in subdivision (b)(5)(A), then the request is deemed approved.

(d)

(1) A pharmacist shall dispense a medication only upon presentation of a valid prescription issued by a healthcare prescriber.

(2) A pharmacist is not required to obtain additional approval from a pharmacy benefits manager for dispensing medication.

(e)

(1) For purposes of this subsection (e), "retaliatory action" includes:

(A) Network termination or exclusion;

(B) Reimbursement reductions;

(C) Targeted audits;

(D) Performance or quality penalties; or

(E) A delay of claims processing.

(2) A pharmacy benefits manager shall not take retaliatory action against a pharmacy or healthcare prescriber for exercising rights pursuant to this section.

(3) If an action listed in subdivision (e)(1) occurs within one hundred eighty (180) days of an activity protected pursuant to this section, then the action is presumed to be a retaliatory action and the pharmacy benefits manager bears the burden of proving by clear and convincing evidence that the action was not retaliatory.

(f)

(1) The department or the department of health may request a pharmacy benefits manager operating in this state to disclose:

(A) The terms and conditions of any contract the pharmacy benefits manager has with a pharmacy and payer, including all formulary and prior authorization policies; and

(B) Any rebate and fee arrangements that may influence formulary decisions.

(2) If the department or the department of health requests the information in subdivision (f)(1), then the pharmacy benefits manager shall disclose such information to the requesting department within ten (10) days.

(g) A pharmacy benefits manager operating in this state shall report annually to the department the following:

(1) The average prior authorization response times;

(2) The approval rates compared to the denial rates;

(3) The number of formulary exception requests; and

(4) The aggregate rebate and fee categories.

(h)

(1) A violation of this section constitutes an unfair trade practice under the Tennessee Unfair Practices and Unfair Claims Settlement Act of 2009, compiled in chapter 8, part 1 of this title.

(2) The department may impose a civil penalty not to exceed ten thousand dollars ($10,000) per violation.

(3) A pharmacy or healthcare prescriber harmed by a violation may bring a civil action for injunctive relief and actual damages.

(i) This section does not apply to or affect a plan governed by the Employer Retirement Income Security Act of 1974 (ERISA) (29 U.S.C. § 1001 et seq.) or the administrator of such plan.

(j) The department and the department of health may promulgate rules to effectuate this section. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

SECTION 2. Tennessee Code Annotated, Section 56-7-3122, is amended by deleting the section and substituting:

Notwithstanding another law and except as provided in § 56-7-3125, this part applies to plans governed by the Employee Retirement Income Security Act of 1974 (ERISA) (29 U.S.C. § 1001 et seq.).

SECTION 3. Tennessee Code Annotated, Section 56-8-104, is amended by adding the following as a new subdivision:

(24) Violating § 56-7-3125.

SECTION 4. If any provision of this act or the application of any provision of this act to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 5. For the purposes of promulgating rules, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect July 1, 2026, the public welfare requiring it.